

# Introduction to Engineering Management

## Small Groups Practice 3

*Internal Analysis, Strategy & Strategic Resources*

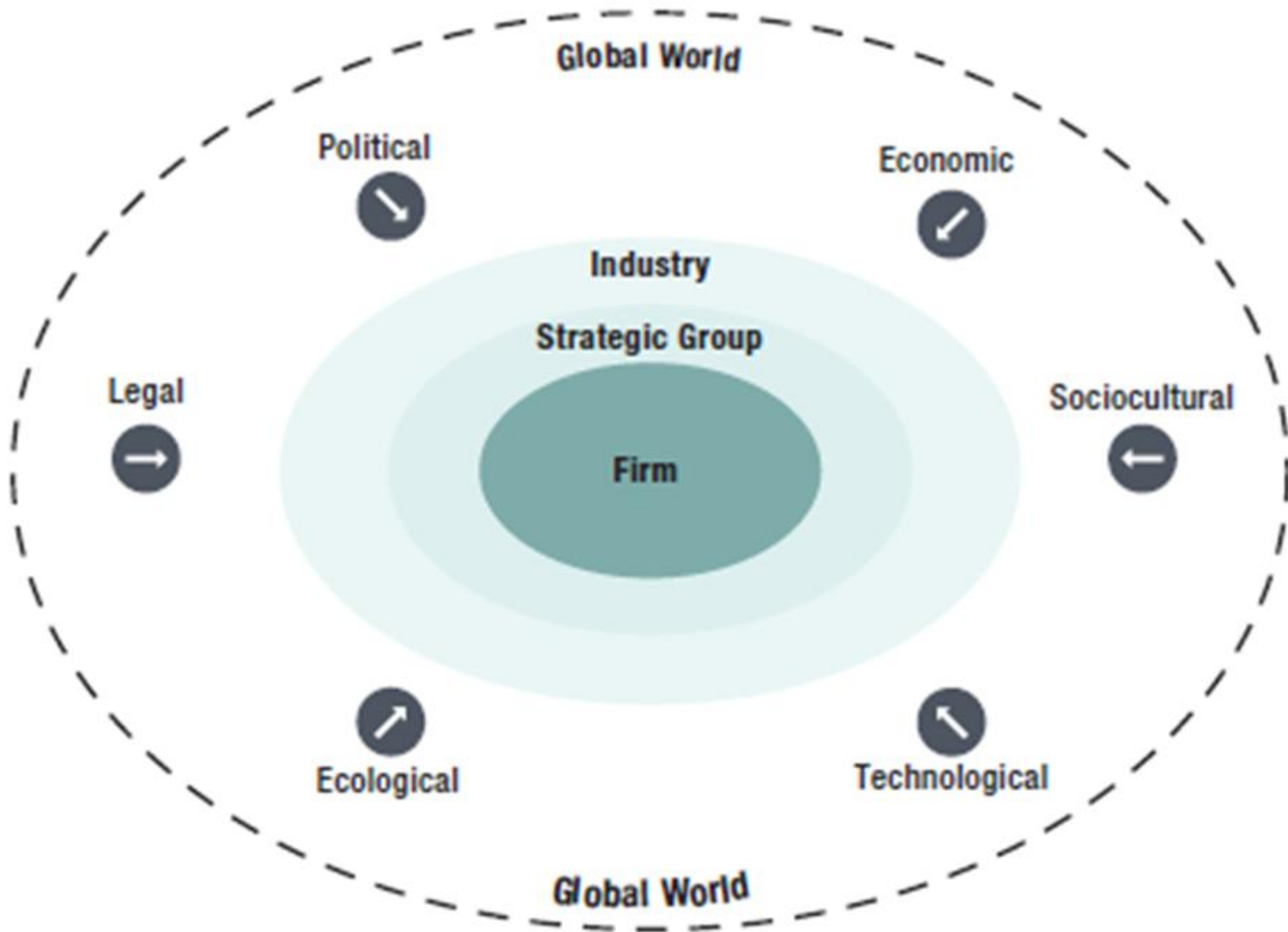
*Professor: Juan Repiso (Office: 1.3.A05)*

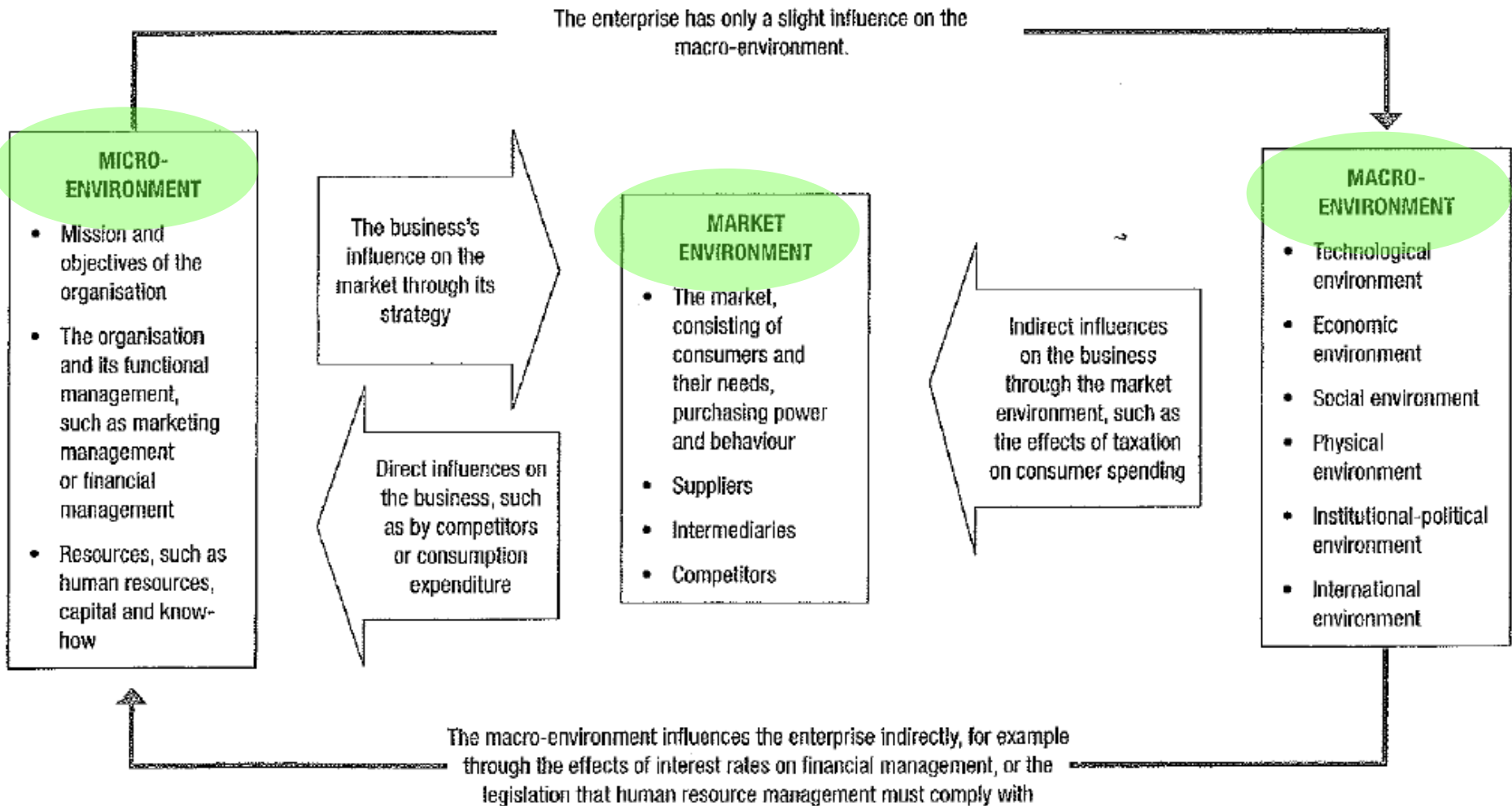
*The main objective of this practical session is to work on the **internal analysis** of the companies, its relationship with **strategy definition**, and to investigate and deepen the relationship of strategy, companies' strengths and critical **resources***

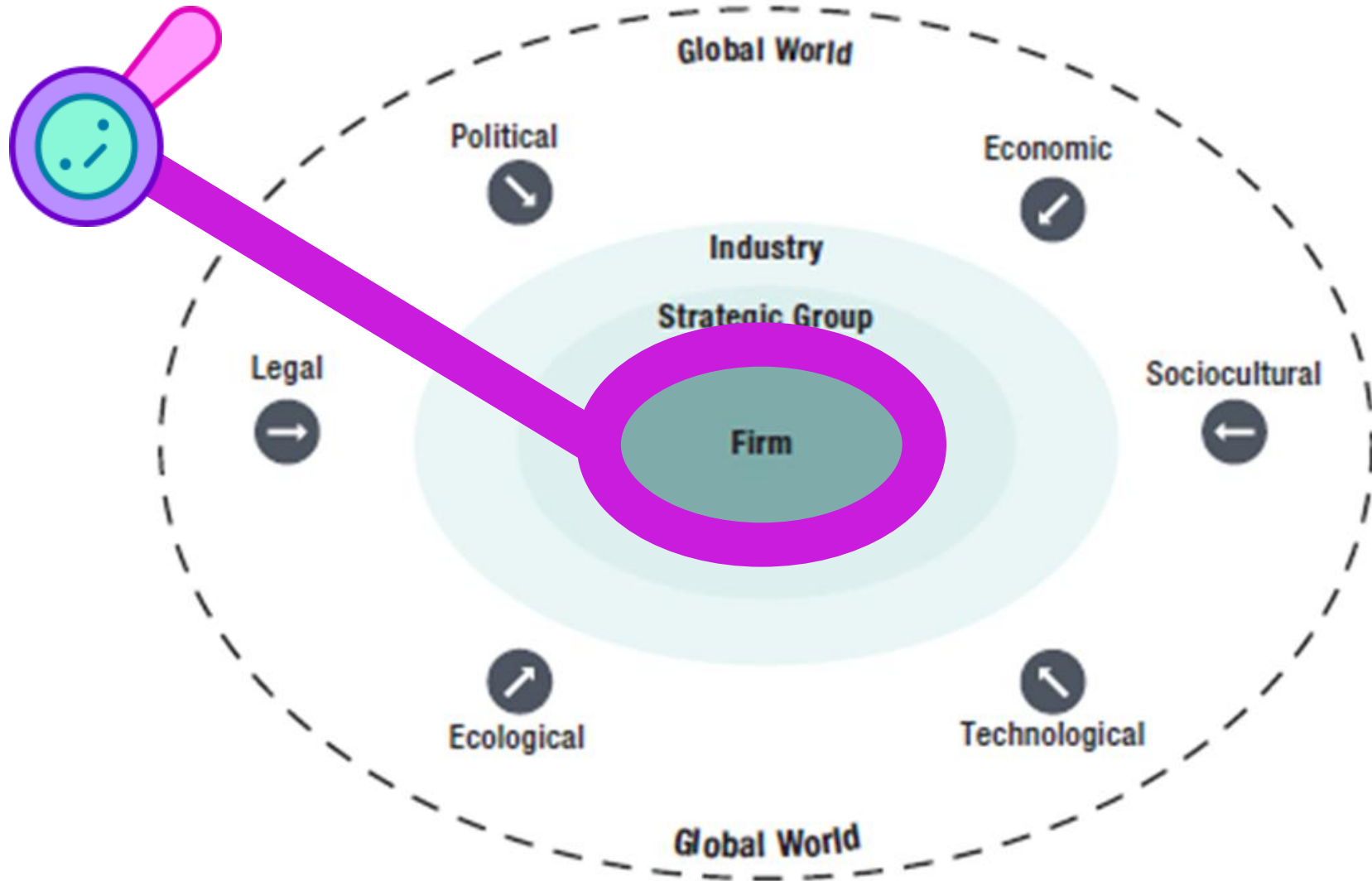
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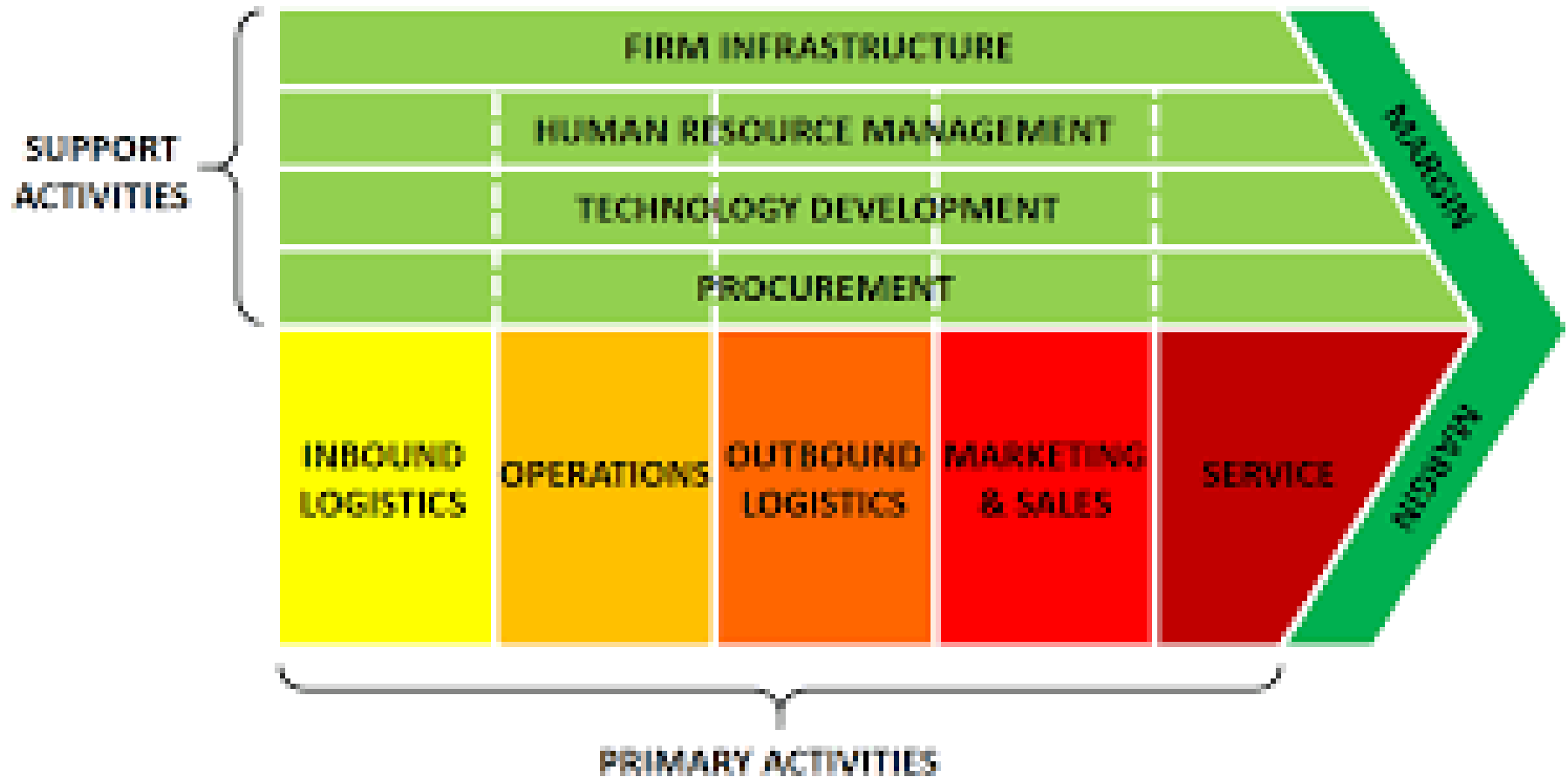
members









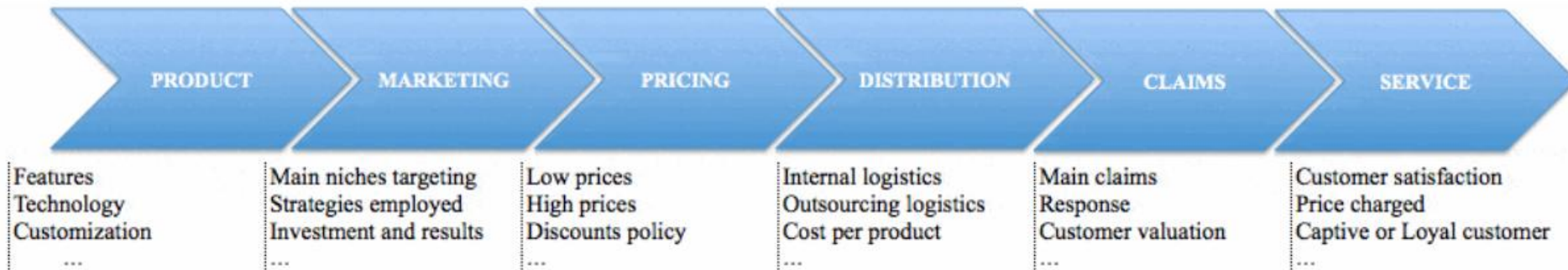




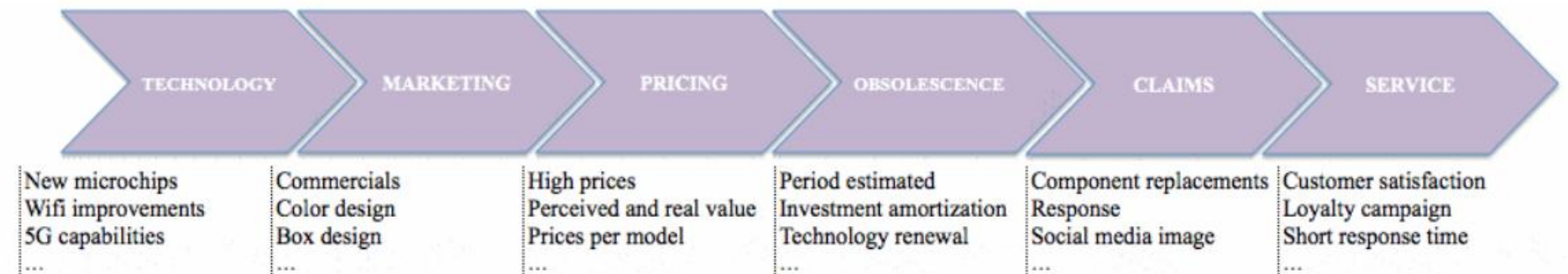
- Whether you have **experience** analyzing Value Chains.
- Whether you are developing the analysis for a **consolidated company**.
- For **new approaches** within consolidated economic sectors.
  - Some projects approach a consolidated sector with cheaper resources, better distribution chains, a better service or customer support...
  - For these projects, the Porter analysis would be the best option, since it disaggregates all the conventional internal aspects that are about to be improved in a new approach.
- Whether you are developing this analysis for a **big company**.
  - If the company you are analyzing has a human resources department (for example) maybe you should think about this approach since it analyzes more deeply the different departments impact on the final product.



## ✓ Average Industry



## ✓ Mobile Phone Company



McKinsey  
& Company

- Whether it is your **first time analyzing a Value Chain**.
- If you have a **young project**.
  - You will surely need flexibility and this approach allows you to change quickly and easily its factors.
- Within **“changing” economic sectors**.
  - Again, the flexibility of this approach will surely be helpful.
- If the **company** analyzed is **small**.
  - If you barely have infrastructure within the company, the McKinsey approach is definitely your best option, since it doesn't focus excessively on internal factors that may not even apply to your situation.



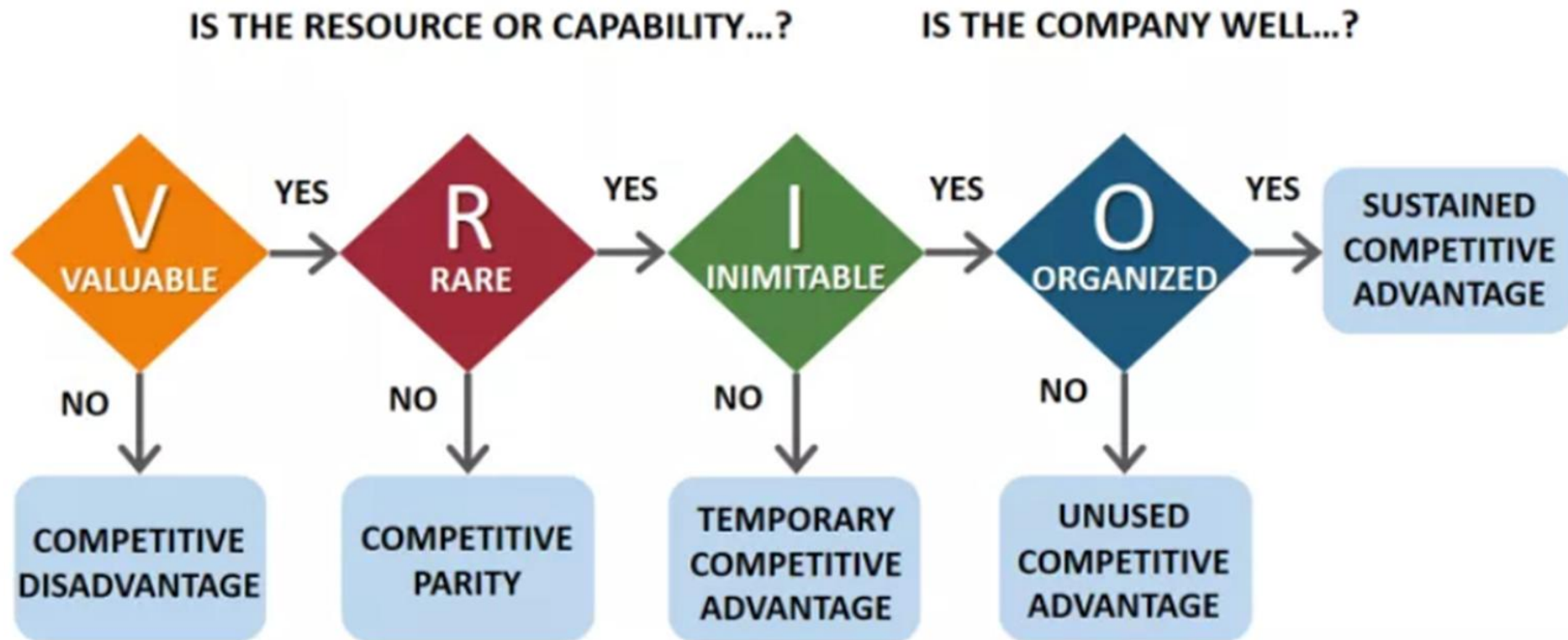
| Types             | Category                | Examples                                   |
|-------------------|-------------------------|--------------------------------------------|
| <b>Tangible</b>   | Physic assets           | Lands, buildings, machinery...             |
|                   | Financial resources     | Money in bank accounts<br>Internal funds   |
| <b>Intangible</b> | Technological resources | Patents, know-how, ...                     |
|                   | Relational resources    | Brands<br>Reputations<br>Clients portfolio |
|                   | Human resources         | Employees                                  |

| V        | R    | I          | O         |                                   |
|----------|------|------------|-----------|-----------------------------------|
| VALUABLE | RARE | INIMITABLE | ORGANIZED |                                   |
| NO       |      |            |           | COMPETITIVE DISADVANTAGE          |
| YES      | NO   |            |           | COMPETITIVE PARITY                |
| YES      | YES  | NO         |           | TEMPORARY COMPETITIVE ADVANTAGE   |
| YES      | YES  | YES        | NO        | UNUSED COMPETITIVE ADVANTAGE      |
| YES      | YES  | YES        | YES       | SUSTAINABLE COMPETITIVE ADVANTAGE |



## VRIO Framework

| Resource/Capability |                                      | V | R | I | O |
|---------------------|--------------------------------------|---|---|---|---|
|                     | WiFi Internet Access                 |   |   |   |   |
|                     | R&D Skills                           |   |   |   |   |
|                     | Ability to Raise Capital             |   |   |   |   |
|                     | Coffee Brewing Equipment             |   |   |   |   |
|                     | Human Resource Management            |   |   |   |   |
|                     | Coffee House Set Up                  |   |   |   |   |
|                     | Employee Compensation                |   |   |   |   |
|                     | Quality Product Mix                  |   |   |   |   |
|                     | Coffee House Locations               |   |   |   |   |
|                     | Employee Benefits                    |   |   |   |   |
|                     | Socially Responsible Corporate Image |   |   |   |   |
|                     | Buying Power                         |   |   |   |   |
|                     | Number of Coffee Houses              |   |   |   |   |
| Core Competencies   | Propensity for Innovation            |   |   |   |   |
|                     | Relationships with Coffee Farmers    |   |   |   |   |
|                     | Customer Experience                  |   |   |   |   |
|                     | Corporate Leadership & Vision        |   |   |   |   |
|                     | Renowned Brand                       |   |   |   |   |



<https://carpenterstrategytoolbox.com/2015/10/22/xerox-parc-lost-the-pc/>

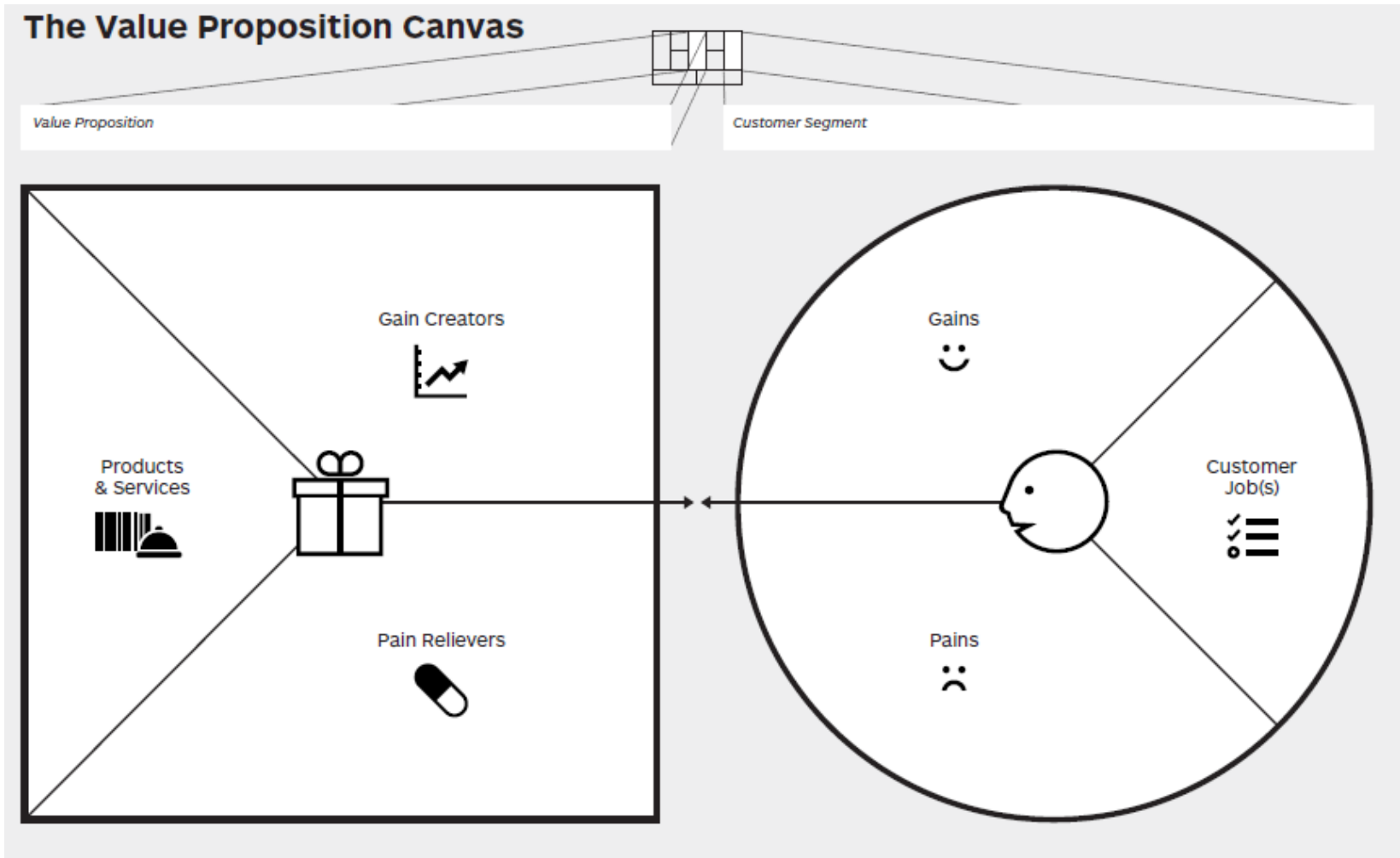
**EXAMPLE**



# From business idea to business models

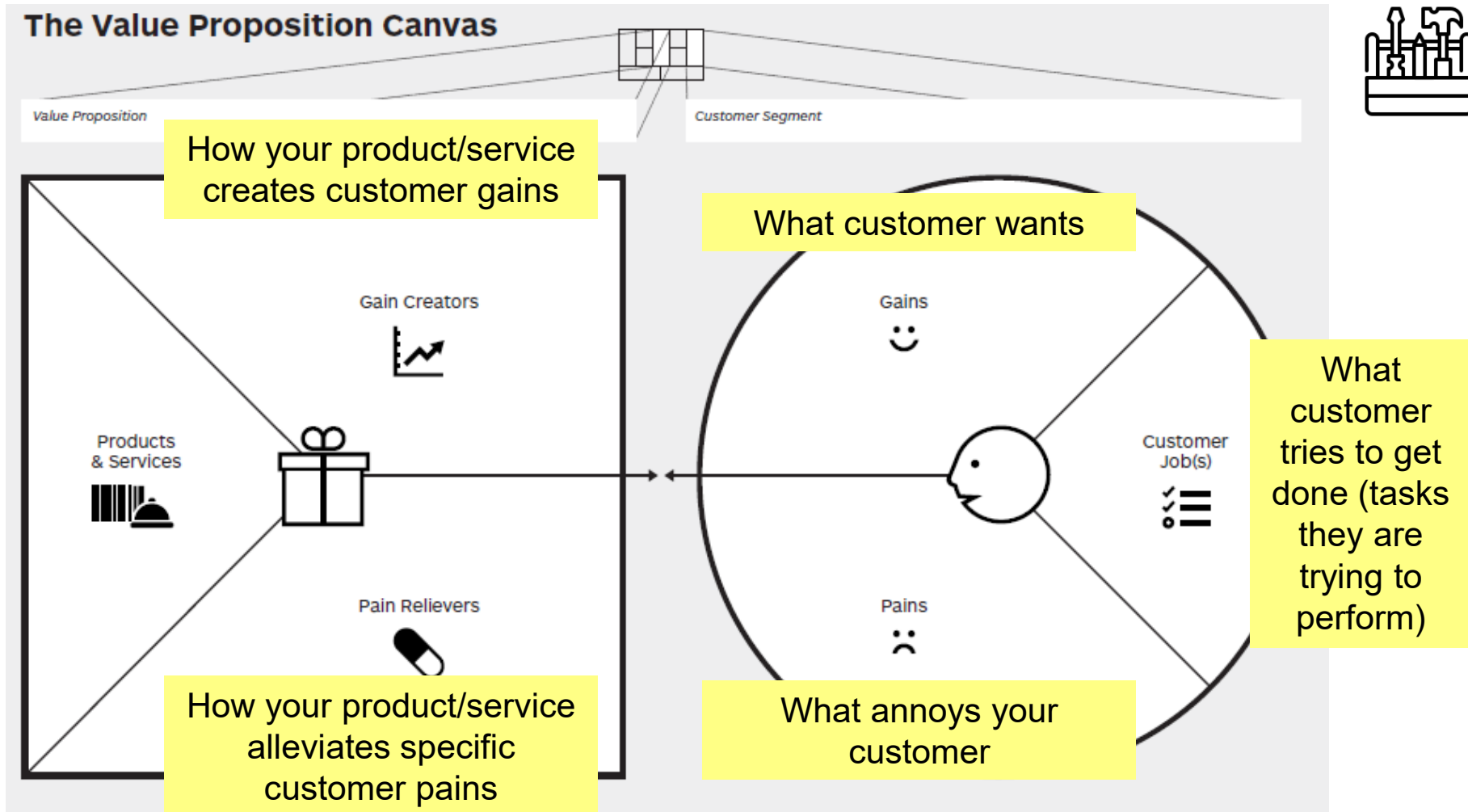
## Steps:

- 1.- Getting from business idea to business model
- 2.- Visualizing your business model – Canvas model Tool
- 3.- Prototyping
- 4.- Navigating your environment
- 5.- Proving it
- 6.-Telling your story



<https://strategyzer.com/>

[https://www.youtube.com/watch?v=\\_UECTWQCYxQ](https://www.youtube.com/watch?v=_UECTWQCYxQ)



<https://strategyzer.com/>

[https://www.youtube.com/watch?v=\\_UECTWQCYxQ](https://www.youtube.com/watch?v=_UECTWQCYxQ)

## Key Partners

Identify your company's key partners. This can consist of important suppliers in your supply chain. What **key resources** does the company receive from these partners? What **key activities** are performed by these partners? Think about why your company works with these key partners and the motivations behind them.



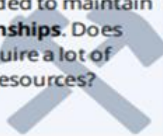
## Key Activities

What specific key activities are necessary to deliver your **value proposition**? What activities set your company apart from others? Consider how your company's unique differences in its **revenue streams**, distribution **channels**, or **customer relationships**. Do you need to procure specific niche resources? Do you need to streamline to keep costs and prices low?



## Key Resources

What specific key resources or assets are necessary to deliver your **value proposition**? Consider what resources your distribution **channels** and **revenue streams** may require to function. Additionally, think about what resources are needed to maintain **customer relationships**. Does your company require a lot of capital or human resources?



## Value Propositions

Identify the core value the company provides to customers. What exactly is the company trying to give to customers? What problem is your company trying to solve and what needs are your company satisfying? How do you offer something different that satisfies the demands of your **customer segments** (e.g. price, quality, design, status)?



## Customer Relationships

What type of relationship do you have with your customers? How do you interact with customers and how does this differ amongst **customer segments**? Do you communicate frequently with your customers? How much support does your company provide?



## Channels

How do you deliver your **value proposition**? How do you reach your **customer segments**? What channels are used? Consider your supply, distribution, marketing, and communication channels. Are they well-integrated and cost efficient? Are they utilized effectively?



## Customer Segments

Identify who is your **value proposition** targets. Who are you creating value for? Who are your most important customers? What are they like? What do they need? What do they enjoy? What is the customer market like? Are you targeting a small niche community or a mass market?



## Cost Structure

Identify the key costs in your company's business model. What are the major drivers of costs? How do your **key activities** and **key resources** contribute to the cost structure? How do your costs relate to your **revenue streams**? Are you properly utilizing economies of scale? What proportion of costs are fixed and variable? Is your company focused on cost optimization or value?



## Revenue Streams

Identify the ways your **value proposition** generates money for your business. Does your company have multiple methods of generating revenue? What is the pricing strategy for the products offered by your company? Through what channels do your customers pay? Does your company offer multiple forms of payment?



<https://www.youtube.com/watch?v=Csofgp9Bcyo>



### KEY PARTNERS

Who are our key partners?  
Who are our key suppliers?  
Which key resources are we acquiring from our partners?  
Which key activities do partners perform?

### KEY ACTIVITIES

What key activities do our value propositions require?  
Our distribution channels?  
Customer relationships?  
Revenue streams?

### KEY RESOURCES

What key resources do our value propositions require?  
Our distribution channels?  
Customer relationships?  
Revenue streams?

### VALUE PROPOSITIONS

What value do we deliver to the customer?  
Which one of our customers' problems are we helping to solve?  
What bundles of products and services are we offering to each segment?  
Which customer needs are we satisfying?  
What is the minimum viable product?

### CUSTOMER RELATIONSHIPS

How do we get, keep, and grow customers?  
Which customer relationships have we established?  
How are they integrated with the rest of our business model?  
How costly are they?

### CHANNELS

Through which channels do our customer segments want to be reached?  
How do other companies reach them now?  
Which ones work best?  
Which ones are most cost-efficient?  
How are we integrating them with customer routines?

### CUSTOMER SEGMENTS

For whom are we creating value?  
Who are our most important customers?  
What are the customer archetypes?

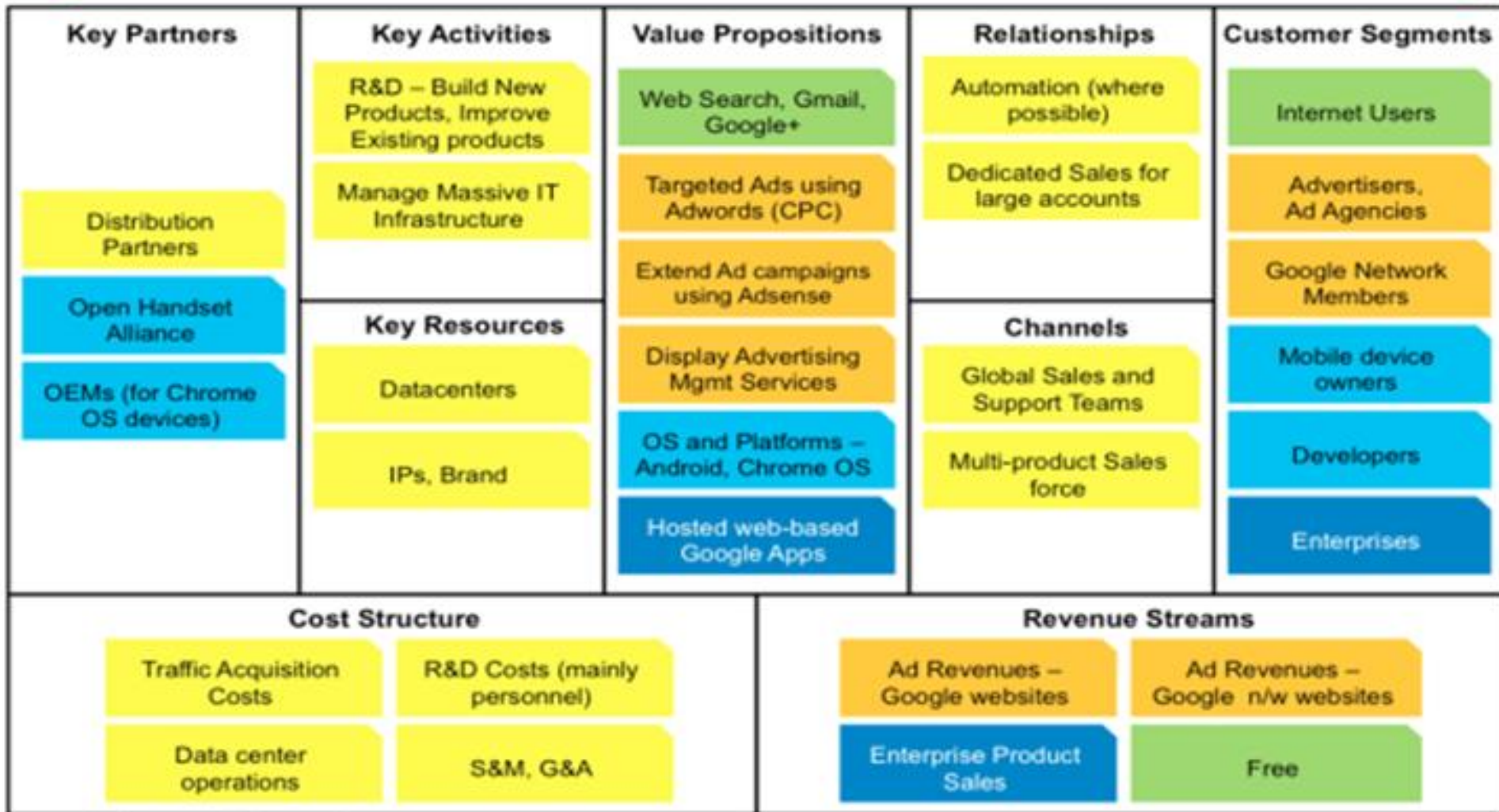
### COST STRUCTURE

What are the most important costs inherent to our business model?  
Which key resources are most expensive?  
Which key activities are most expensive?

### REVENUE STREAMS

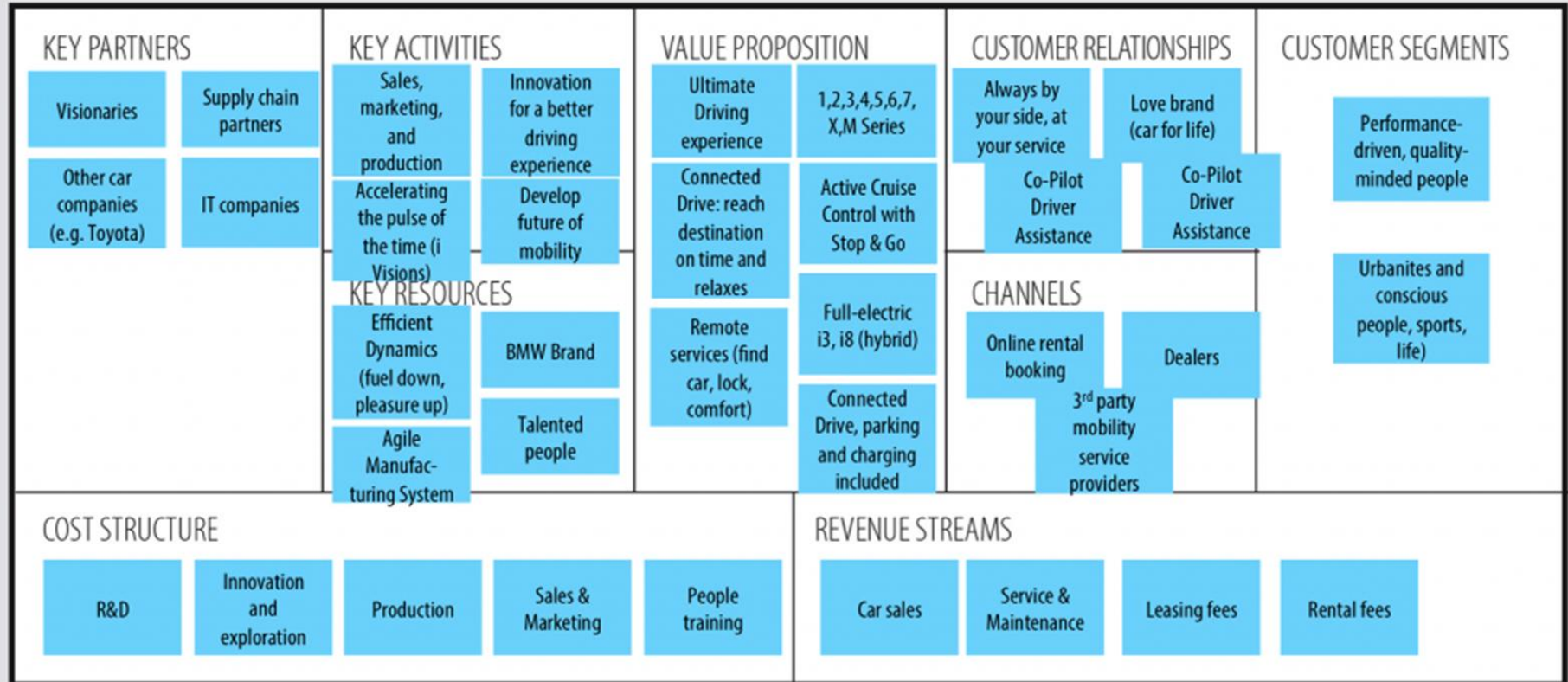
For what value are our customers really willing to pay?  
For what do they currently pay?  
What is the revenue model?  
What are the pricing tactics?

### Google Business Model



## BUSINESS MODEL CANVAS

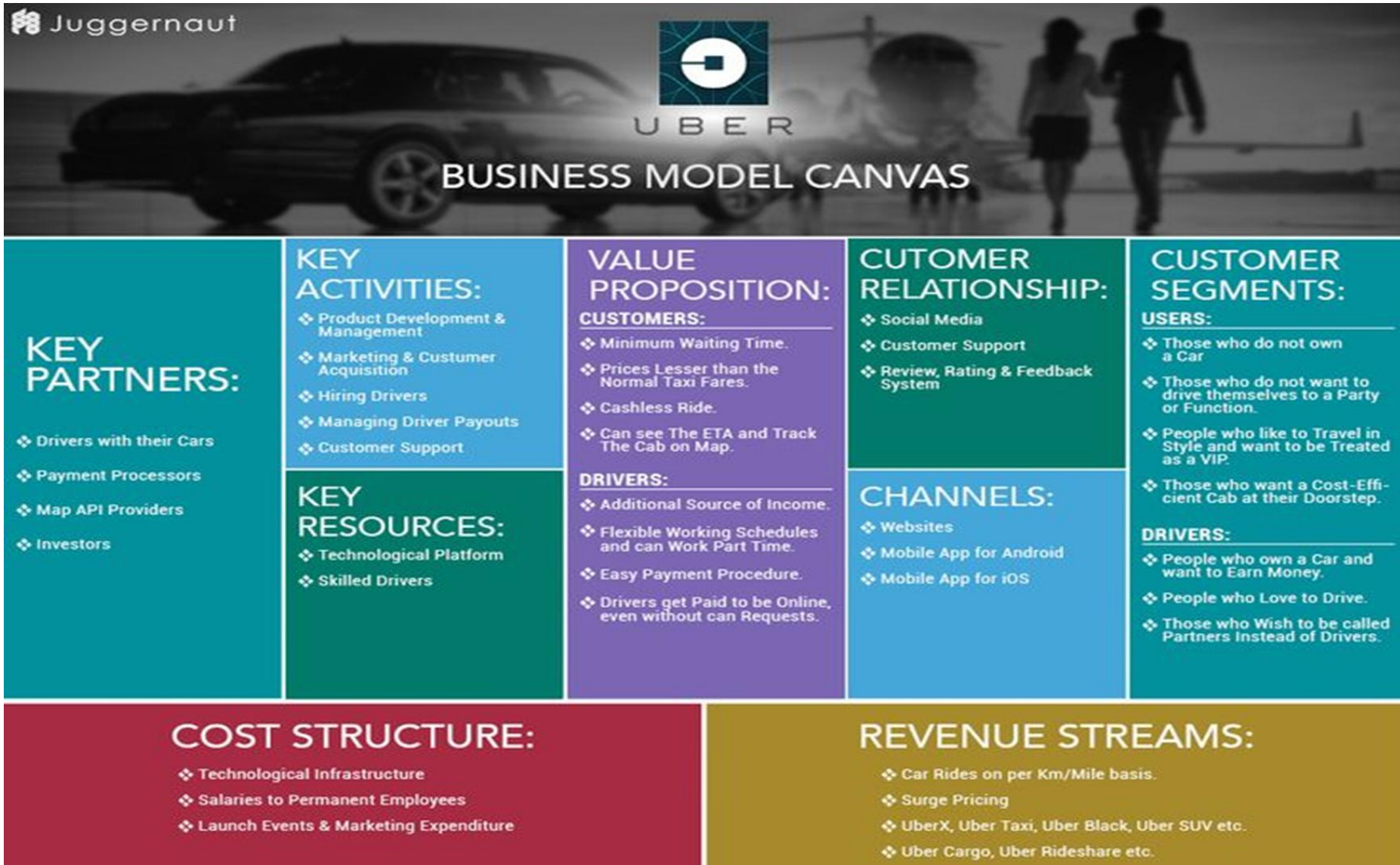
BMW



DESIGNED BY BUSINESS MODEL FOUNDRY AG

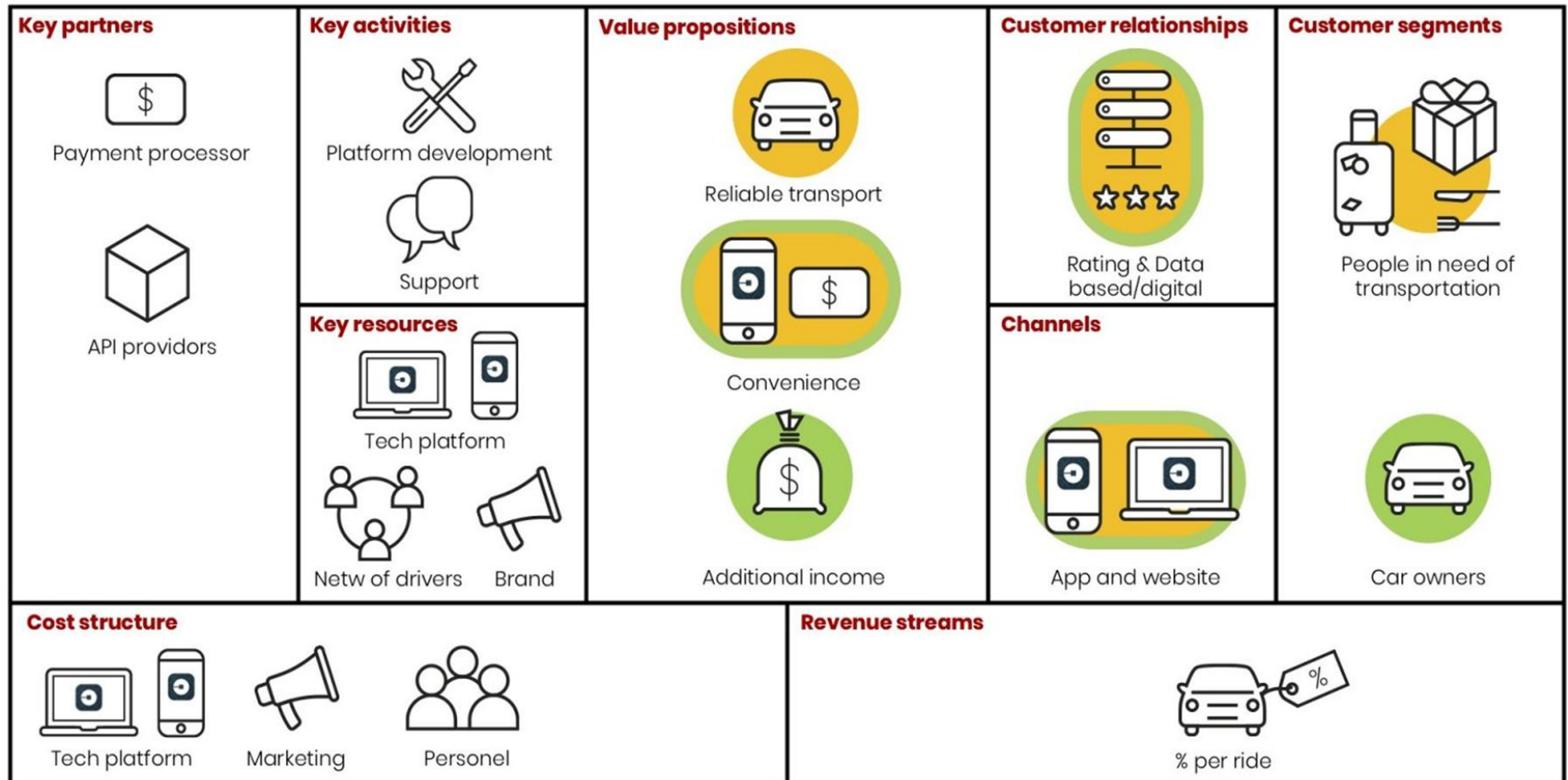
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strategyzer.com



## BMI • Business model canvas

## UBER



Business Models Inc © www.businessmodelgeneration.com

## Business Model Canvas airbnb

### Key partners

- Hosts
- Business travel partners
- Travel managers
- Investors / venture capitalists
- Lobbyists

### Other partners:

- Photographers (street, event, property)
- Maps, payment, cloud storage, identification
- Insurance

### Key activities

- Remove friction from transactions
- Scale beyond critical mass
- Engage the participants
- Refine value proposal
- Analyse data & improve

### Key resources

- The network effects
- Listings
- User generated content
- Platform architecture
- Algorithms, data, analytics capabilities/people
- Brand, App

### Value proposition

#### For the hosts:

- Income generation
- Ease of transactions
- Meeting new people
- Ease of getting verified guests
- Calendar, booking management

#### For the guests:

- Lower cost
- Easy transactions
- Authentic local experience
- More variety
- Transparent ratings

### Customer relationships

- Own the relationships
- Manage interactions

#### Esp for hosts:

- Issue resolution
- Guide joining steps

#### Public: company image

### Channels

- Digital ads
- Content marketing
- Word of mouth
- Social, messaging
- Referral program
- Transaction: App, pages
- Engage: mails, offers

### Customer segments

#### Macro segmentation

#### Guests

- Travel type (business, leisure)
- Demographic
- Geographic
- Behavioural

#### Hosts

- Accommodation type
- Demographic
- Geographic
- Rental preferences

#### And microsegmentation

### Cost structure

- Customer acquisition cost, CAC
- Weighted average cost of capital, WACC

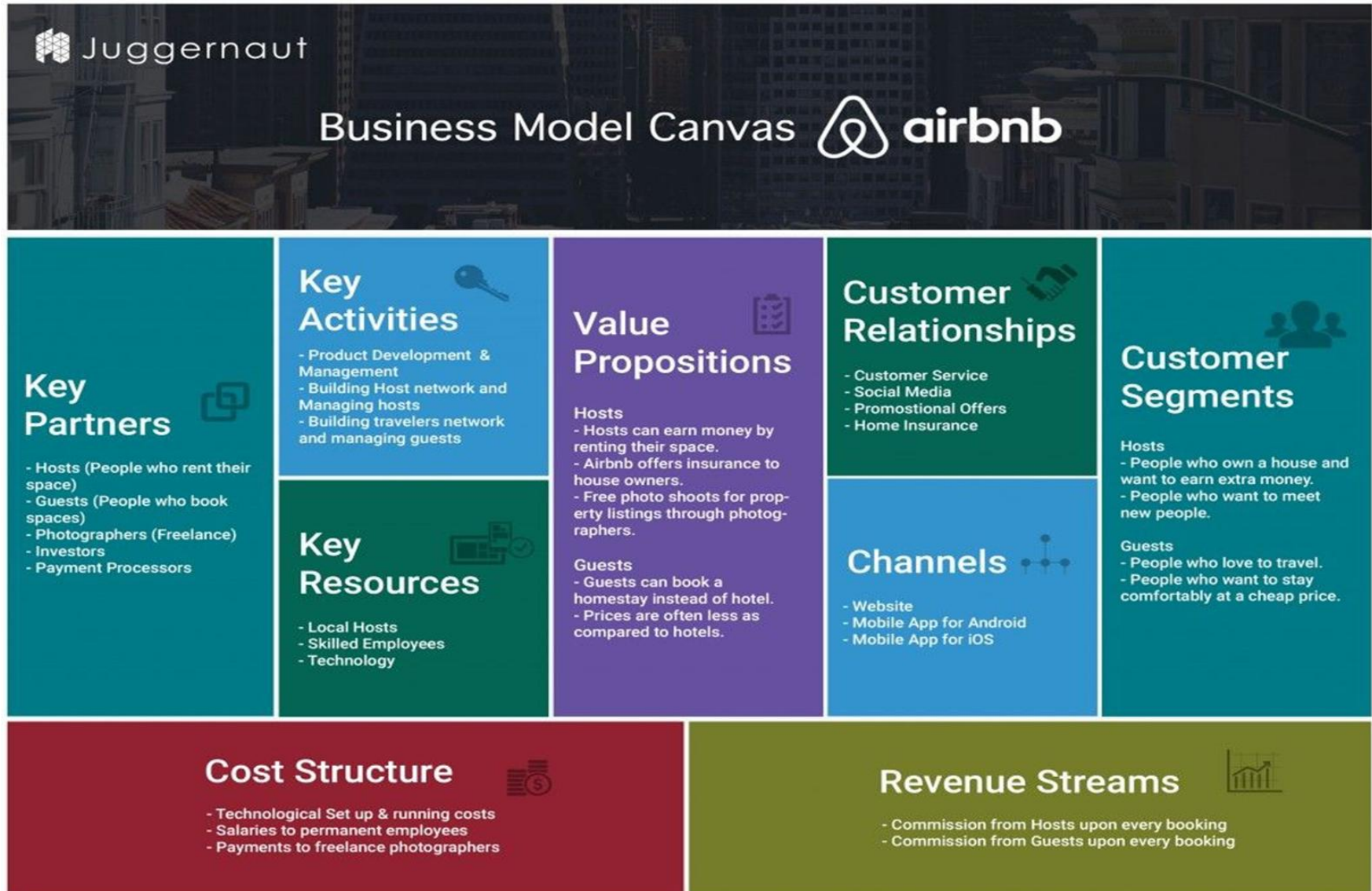
- Development & expansion
- Payroll, contractors
- Infrastructure, transaction costs
- Legal, insurance
- Lobbying, legal, settlement
- Customer support

### Revenues

- Charging a transaction fee based on savings on:
  - Lower cost for guests
  - Higher net income of hosts

- Rental guests: 5-15%
- Rental hosts: 3-5%
- Event hosts: 20%
- Event guests: 0%

Understanding Airbnb: [www.innovationtactics.com/business-model-canvas-airbnb/](http://www.innovationtactics.com/business-model-canvas-airbnb/)



## BUSINESS MODEL CANVAS

### Key Partners

- Hosts
- Hosts who offer experiences
- Investors/ venture capitalists
- Corporate Travel partners & Managers
- Insurance companies
- Professional Photographer Services

### Key Activities

- Platform development
- Sales and marketing
- Managing bad behaviors and risks
- Protect sensitive information
- Maintain Customer Service

### Key Resources

- Airbnb platform and mobile App
- Employees – Software engineers, analytic and data scientists
- Millions of properties listed on their platform

### Value Propositions

#### For Host:

- Simple and secure to publish
- Make extra money
- Full control
- Professional Services
- Communication

#### For Guest:

- Save money
- Easy to browse and easy to book
- spacious property
- Amenities
- Provides Unique experience
- performs a background check

### Customer Relationships

- Self-Serve Platform
- Personalized Recommendations
- Customer Service Support

### Channels

- Airbnb platform (website and app)
- Platforms like content marketing, media coverage, digital ad campaigns

### Customer Segments

- Hosts
- Guests

### Cost Structure

- Platform development and maintenance cost
- Infrastructure Cost
- Sales and marketing cost
- Customer Acquisition Cost
- Employee salaries
- Cost of capital
- Development and maintenance
- Credit card processing fees
- Insurance cost
- Legal and administrative cost
- Regulatory cost

### Revenue Streams

- Host Fee (Ranges from 3-5%)
- Travelers Fees (Ranges from 0-20%)



Business Strategy Hub

## Practice 3

### ✓ **Learning Objective**

- The main objective of this practical session is to work on the internal analysis of the companies, its relationship with strategy definition, and to investigate and deepen the relationship of strategy, companies' strengths and critical resources in a 8 minutes presentation in powerpoint.

### ✓ **Support material**

- Teaching material
- Related bibliography
- Internet: corporate webs, sectorial reports, geographical reports & information

## Practice 3 *Assignment*

- Perform the assigned task.

**Deliverable**  
*(As stated in Aula Global)*

Powerpoint for a  
máximo of  
6 min presentation

